



8. INVESTMENT BANKERS

Investment bankers are finance professionals who take up businesses and try to secure funding for them. If they can close the same, they take a certain percentage of overall amount raised. Investment bankers are well connected with investors. They regularly take deals to them. They will coordinate the fundraise process. Again for them too, select percentage of businesses do actually raise capital.

For example, if you raise one crore, they might ask for 5% of the total capital. So you will be paying them Rs. five lacs as a commission, and the remaining amount you can use to run your business. Investment bankers take on project selectively based on if they think the business will generate investor interest.

Investment bankers can lead with warm introduction with potential investors. However, be careful to never pay an investment banker anything upfront. It should be success related.

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